IN THE SUPERIOR COURT OF JUDICATURE

IN THE HIGH COURT OF JUSTICE

[COMMERCIAL COURT]

HELD IN ACCRA ON 18TH NOVEMBER, 2025

BEFORE HIS LORDSHIP JUSTICE EMMANUEL A. LODOH, J.

CM/RPC/0093/2023

QUEEN OF PEACE CO-OPERATIVE CREDIT UNION **PLAINTIFF**

NEW ROAD, MADINA

ACCRA

VRS.

SIC FINANCIAL SERVICES LIMITED **DEFENDANT**

NO. 67A & B SWITCHBACK ROAD

CANTONMENTS

JUDGMENT

The Plaintiff in the instant action is seeking to recover returns from investments made with the Defendant and interest thereon. Thus per a Writ of Summons taken out of the

Commercial Court Registry on 8th November, 2022, the Plaintiff seeks the following specific reliefs against the Defendant:

(a) An order for the payment of GHS2, 263, 486.00 being the accrued balance on the Plaintiff's fixed deposit investment as at 21st July, 2022.

(b) An order for the payment of GHS161, 167.04 being the accrued balance of the Plaintiff's second fixed deposit investment as at 31st July, 2022.

(c) Payment of interest on the said amount of GHS2, 263, 486.00 at the prevailing commercial rate from 31st July, 2022 to date of payment.

(d) Payment of interest on the said amount of GHS161, 167.04 at the prevailing commercial rate from 31st July, 2022 to date of payment.

(e) Cost occasioned by the suit including Solicitor's fees; and

(f) Any other order (s) that the Honourable Court may deem fit.

Counterclaim

The Defendant filed a Statement of Defence on 20th January, 2023 and counterclaimed as follows:

(a) An order for the reconciliation of accounts between the parties to ascertain the true state of indebtedness.

(b) The declaration that the Plaintiff is not entitled to the amount quoted and claimed on its Writ of Summons and Statement of Claim.

(c) Any reliefs (s) which the Honourable Court deems fit.

Summary of case of the Plaintiff

The case of the Plaintiff is that the Defendant is and investment management and advisory services company licenced by the Securities and Exchange Commission (SEC).

The Plaintiff averred further that as a customer of the Defendant it has two fixed deposit investments accounts with the Defendant.

The Plaintiff further stated in paragraphs 4, 5, and 6 of their Statement of Claim as follows:

4. The Plaintiff avers further that as at 31st July, 2022, the outstanding balance on the 1st fixed deposit investment accounts with the Defendant was GHS 2, 263, 486.49
5. The Plaintiff says that as at 31st July, 2022, the outstanding balance on the 2nd fixed deposit investment account with the Defendant was GHS161, 167.04.
6. The Plaintiff says further that upon maturity of the fixed deposit investment, the Defendant failed and/or refused to pay same to the Plaintiff.

The Plaintiff contended further that despite letters written to the Defendant demanding payments, they have not refused to do so, hence this action.

Case of the Defendant

The Defendant in their Statement of Defence filed on 20th January, 2023 denied all the material allegations made by the Plaintiff, except to admit that the Plaintiff is a customer of the Defendant entity. They pleaded their denials in paragraph 3, 4, 5 and 6 of their Statement of Defence as follows:

3. The Defendant avers that save for the Plaintiff being a customer of the Defendants' paragraph 3 is denied.
4. That the Defendant denies paragraph 4, 5, 6 and 7 of the Statement of Claim and shall put the Plaintiff to the strictest of proof.

5. The Defendant avers that the Plaintiff does not have Fixed Deposits Investments with it.
6. The Defendant avers it does not owe the Plaintiff the sum alleged and shall put the Plaintiff to the strictest proof thereof.

Notwithstanding the Defendant's categorical denial that the Plaintiff did not have any investments with it, the Defendant relied on these averments to springboard its counterclaim against the Plaintiff.

Issues for Trial

This case having been initiated from the Registry of the Commercial Court, unsuccessful attempts were made to have the issues in this case resolved at Pre-trial settlement conference. The Pre-Trial Judge therefore on 20th October, 2023 set down the issues for trial as follows:

(a) Whether or not the accrued balance on the Plaintiff's first investment as at 31st July, 2022 was Two million, two hundred and Sixty-Three thousand, four hundred and eighty-six Ghana Cedis (GHS 2, 263, 486.00).
(b) Whether or not the accrued balance on the Plaintiff's second investment as at 31st July, 2022 was One hundred and Sixty-one thousand, One hundred and Sixty-Seven Ghana Cedis and Four pesewas (GHS 161, 167. 04).

The Trial

The Plaintiff representative, Mr. Konlan Kpanchar Suguru, the General Manager of the Plaintiff entity testified during the trial. His witness statement filed on 28th March, 2024 was admitted in evidence. The Defendant's representative, Susanna Somuah, Head of

Asset Management of the Defendant entity testified for the Defendant. Her witness statement filed on 9th May, 2024 was admitted in evidence.

Burden of Proof

It is trite law that the law circumscribing the placement of the legal and evidential burdens are provided for under the Evidence Act, 1975 (NRCD 323), particularly sections 10 (1)(2)(b); 11(1) and (4); 12 , 14 and 17.

My understanding of the said provisions therefore is that a person who asserts the existence of a fact, which is denied, bears the burden to proof to the court the existence of that fact. Indeed in the case of **Owusu v Tabiri [1987-88] 1 GLR 287 @293**, Mensah J held that *"it is trite principle of law, that he who asserts must prove and the ne asserting must win his case on the strength of his own case and not on the weakness of the defence".*

Again in the case of **Madam Linda Sagoe and 5 others v Social Security and National Insurance Trust, Civil Appeal Number J4/50/2011** delivered on 30th May, 2012, the Supreme Court per Gbadegbe, JSC stated as that:

> *"Writing on the subject "Incidence of the legal burden", the learned authors of Halsbury's Laws of England, Volume 17 on Evidence at paragraph 14 of page 11 state as follows:*
>
> > *"The legal burden of proof normally rests upon the party desiring the court to take action, thus a claimant must satisfy the tribunal that the conditions which entitle him to an award have been satisfied. In respect of a particular allegation, the burden lies upon the party for whom the substantiation of that particular allegation is an essential of his case."*

Finally in the case of **Okudzeto Ablakwa (No. 2) vs. Attorney General & Another [2012] 2 SCGLR 845 at 867**, the court explained the law governing the burden of proof as follows:

> *"If a person goes to court to make an allegation, the onus is on him to lead evidence to prove that allegation, unless the allegation is admitted. If he fails to do that, the ruling on that allegation will go against him. Stated more explicitly, a party cannot win a case in court if the case is based on an allegation which he fails to prove or establish."*

From the authorities stated supra, it is my considered view that since it is the Plaintiff that is alleging that the placed an investment with the Defendant and further that the Defendant had failed to adhere to the terms of the investment portfolio, the they bear the burden to put before the Court evidence in proof of their allegations against the Defendant.

Regarding the standard of proof in civil trials, the Supreme Court case **of Bisi v Tabiri & Anor [1987-88] 1 GLR 360 at page 361**, is captured in holding 2 of the report as follows:

> *"The standard of proof required of a Plaintiff in a civil action was to lead such evidence as would tilt in his favour the balance of probabilities on the particular issue. The demand for strict proof of pleadings had however never been taken to call for an inflexible proof either beyond reasonable doubt or with mathematical exactitude or with such precision as would fit a jig-saw puzzle. Preponderance of evidence became the triers belief in the preponderance of probability."*

Finally, let me state that the fact that the Defendants did not testify does not mean the Plaintiff is reliefs of its obligation to put before the Court evidence sufficient to persuade the court that the existence of the facts its claims is more probable than its non-existence.

Indeed this principle was clearly laid out in the case of **Tei and Another v CEIBA Intercontinental (2017-2018) 2 SCGLR 906 at 919,** where Pwamang JSC stated as follows:

> *"It must be remembered that the fact that a defendant does not appear to contest a case does not mean that the Plaintiff would be granted all that he asks for by the Court. The rule in civil cases is that he was alleged must prove on the balance of probabilities and the burden is not lightened by the absence of the defendant at the trial. The absence of the Defendant will aid the Plaintiff only where he introduces sufficient evidence to establish a prima facie case of entitlement to his claim".*
>
> *The absence of the Defendant will aid the Plaintiff only where he introduces sufficient evidence to establish a prima facie case of entitlement to his claim"*

Fixed Deposit Investment

Even though not set down for trial, I take the view that the first threshold issue which will serve as the foundation for the resolution of the issues set down for trial by the pre-trial judge is to determine the question whether or not the Plaintiff placed two fixed deposit investment in the Defendant.

The necessity for the determination of this issue arises from the state of the pleading which will show that the whereas the Plaintiff avers that the basis of the legal relationship between the Defendant and the Plaintiff arises out of two fixed deposit investment in placed with the Defendant, the Defendant vehemently denied same.

Accordingly, it is my considered view that the Plaintiff shall bear the legal burden to put before the Court evidence, sufficient to show that the Plaintiff has two fixed deposits investment accounts with the Defendant on the balance of probabilities.

The Plaintiff evidence is that the Defendant is an investment management and advisory services company, wherein it made the investments. This was not denied by the Defendant in their evidence before this court, notwithstanding the averments to the contrary in their Statement of Defence.

Indeed in paragraphs 3 and 4 of the Defendant representative's witness statement, she states as follows:

3. The Plaintiff invested its funds in the Defendant's fixed deposit investment portfolio.
4. The Plaintiff created a deposit investment account with the Defendant.

It is a principle of the evaluation of evidence that when a party evidence is admitted, that party is absolved of leading further evidence to establish the existence of that fact. In the case of **Fori v Ayirebi and Others [1966] GLR @627** as follows:

> *"When a party had made an averment and that averment was not denied, no issue was joined and no evidence need be led on that averment. Similarly, when a party had given evidence of a material fact and was not cross-examined upon, he need not call further evidence of that fact."*

Quantum of Investment

Regarding the quantum or value of the Plaintiff's investment in the Defendant. The Plaintiff's evidence remained consistent with their pleadings. The Plaintiff's evidence is that they have two sets of investments with the Defendant. His evidence on how these investments were created is contained in paragraphs 8, 9 and 10 of this witness statement as follows:

8. The Plaintiff is a customer of the Defendant and it has two fixed deposits investments accounts with the Defendant.

9. The Plaintiff made various fixed deposit investment with the Defendant which were subsequently consolidated into a single investment totaling GHS 2, 263, 486.49. Annexed and marked as Exhibit "A" is a copy of the statement of account of account [sic] at 31st December, 2021.

10. The Plaintiff made another set of investments which was separate and that amount was GH161, 167.04. Annexed and marked as Exhibit "B" is a copy of the statement of account of the investment.

I have examined Exhibits "A" and "B", which are the Statements of account of the Plaintiff, on the letter head of the Defendant. I have also considered the legal effect of the failure of the Defendant to challenge the authenticity Exhibit "A" and "B". Accordingly, I accept the evidence of the Plaintiff that these two exhibits constitute satisfactory proof that Exhibits "A" and "B" are official documents emanating from the Defendant entity.

The vexed question though is whether or not the final figures on the stated on Exhibits "A" and "B" represent unpaid investments accruing to the Plaintiff.

The unpaid investment stated on Exhibit "A" is GHS 2, 263, 486.46, whereas the figure disclosed in Exhibit "B" is GHS161, 167.04. According to the Plaintiff in his evidence, these two figures represents the value of their investment upon maturity as at 31st December, 2021.

The evidence on the record will show that the various amounts expressed on the face of Exhibits "A" and "B" were not disputed by the Defendant, therefore the Court accepts same as the case. The foundation of this conclusion is contained in the responses given

by the Defendant representative when she was under cross-examination by counsel for the Plaintiff. Below is how the cross-examination panned out:

Q: Take a look at exhibit A attached to the Plaintiff's witness statement and confirm if that is the statement of account for the period 1st January 2022 to 31st July 2022.

A: That is the statement for the Plaintiff.

Q: This exhibit A, Is generated from the defendant, is that correct.

A: That is correct.

Q: Confirm from the exhibit A that the outstanding balance is GHS2,263,486.49.

A: That is the balance as stated on exhibit A.

Q: You agree with me that as at 31st July 2022, the outstanding balance as stated on exhibit A is GHS2,263,486.49.

A: Yes. I agree.

Q: Kindly take a look at exhibit B, attached to the Plaintiff's witness statement and confirm if that statement of account was generated from the Defendant Company.

A: Yes, It was generated by the Defendant Company.

Q: Can you confirm from exhibit B that, the outstanding balance on this second fixed deposit as at 31st July 2022 was GHS161,167.04.

A: Yes. I can confirm that.

Q: You agree with me that as stated in exhibit B, the outstanding balance owed to the Plaintiff is GHS161,167.04?

A: Yes. I agree.

Q: So finally you agree with me that, the Plaintiff has two fixed deposit investment accounts with the Defendant?

A: Yes, I agree.

From the foregoing, I find that the plaintiff has put before the Court evidence to *prima facie* establish that the principal sums claimed on the Writ of Summons are unpaid investment is owed them by the Defendant.

Given, the above finding, it is my considered view that the evidential burden now shifts to the Defendant to put before the Court evidence, in proof of their defence that they are not indebted to the Plaintiff in the amount claimed on the writ of summons.

I have processed the evidence of the Defendant as contained in their Witness Statement and I do not accept it as sufficient to deflect evidence of the Plaintiff in respect of the agreed expectations under the investment agreement.

Unfortunately, the Defendant failed to tender the investment contract with the Plaintiff. However during cross-examination of Plaintiff by counsel for the Defendant, below is what transpired:

Q: You agree with me that, per exhibit '1', the Defendant brought to your notice that it can no longer offer guaranteed returns on the investment the Plaintiff made with the Defendant. That is correct?

A: Yes

Q: And you also agree with me that, since the Defendant ceased offering guaranteed returns on investment, it affected the Plaintiff's investment managed by the Defendant.

A: No because at no time did we have that arrangement.

The Defendant's Exhibit "1" is a directive issued by the Securities and Exchange Commission (SEC). It is unclear from the evidence of the Defendant when Exhibit "1"

was brought to the attention of the Plaintiff. Exhibit "1" is dated 31st December, 2018. This is because, if indeed the Defendant informed the Plaintiff that they were no longer guarantying returns, then what explains the disclosures made in Exhibits "A" and "B" which details categorically the closing investment position of the Plaintiff in July, 2022.

It is therefore my reinforced view that the Defendant knew that the Plaintiff's investment was not impaired by Exhibit "1" or even if it was, as at July, 2022 the totals disclosed in Exhibits "A" and "B" represents the liquidity of the Plaintiff with the Defendant. Either way, I am not satisfied that the Defendant has put the Court the quality of evidence necessary to anchor a finding in their favour that their evidence in defence is more probable than the evidence led by the Plaintiff in support of their claims.

Counterclaim

As stated earlier, the Defendant counterclaimed for a reconciliation of accounts and a declaration that the plaintiff is not entitled to the amount endorsed on the writ of summons.

It is trite learning that he who counterclaims bears the burden of proof in much the same way as a plaintiff. In the case of **Aryeh & Akakpo v Ayaa Iddrisu [2010] SCGLR 891 at 901,** the Supreme Court stated the burden of persuasion in respect of a counterclaimant as follow:

> *"A party who has counter-claimed bears the burden of proving his counter-claim on the preponderance of the probabilities and will not win on that issue only because the original claim failed. The party wins on the counter-claim on the strength of his own case and not on the weakness of his opponent's case".*

The first relief sought by the Defendant was for an order for the reconciliation of accounts. Interestingly during the pendency of the proceedings no application was made by the Defendant for such an exercise to be carried out.

Be that as it may, I find fundamentally that, even though the Defendant sought for a reconciliation of accounts in addition to a declaration that the Plaintiff is not entitled to the sums endorsed on the writ of summons, fatally absent in their evidence was their own record or statement of accounts in respect of the Defendant's investment.

It is unclear why a financial institution when defending an action for the recovery of a debt from a client, will fail to produce its own record of their clients' investment portfolio, particularly, when these records, given the nature of the Defendant's defence, would likely be exculpatory of the Defendant against the plaintiff's allegations.

To my mind therefore, there is no apparent justification for a financial institution to withhold clients' records while defending a claim against it, especially where those records, in light of the company's defence, would likely refute the plaintiff's allegations.

Therefore in the absence of evidence to show that the Plaintiff's records were destroyed after a statutory retention period, or was in compliance with data protection laws or a Court order restricting disclosure of the Plaintiff's records, I hold the view that the failure of the Defendant to produce any record of the investment portfolio of the Plaintiff is fatal to their defence.

In the absence of any competing documentation therefore, I take the view that an order for the reconciliation of Accounts cannot be grounded on any factual antecedents.

Conclusion

In the absence of the required sufficiency of evidence in proof of their counterclaim and in the light of my previous finding in respect to the claims of the Plaintiff, I find that the Defendant has failed to put before the Court evidence to establish on the balance of probabilities their counterclaim against the Plaintiff, the defendant's counterclaim against the Plaintiff is hereby dismissed.

On the other hand, I find merit in the case of the Plaintiff against the defendant. This is fundamentally because, I am of the firm view that the Plaintiff has put before the Court evidence to establish on the balance of probabilities their case against the Defendant. I accordingly enter judgment for the Plaintiff against the Defendant as follows:

(a) Plaintiff to recover from the Defendant the sum of Two million two hundred and sixty three thousand four hundred and eighty-six Cedis (GHS2, 263, 486.00) being the accrued balance on the Plaintiff's fixed deposit investment as at 21st July, 2022.

(b) Plaintiff to recover from the Defendant the sum of One hundred and sixty one thousand one hundred and sixty seven Cedis and four Pesewas (GHS161, 167.04) being the accrued balance of the Plaintiff's second fixed deposit investment as at 31st July, 2022.

(c) Plaintiff shall recover interest on the amount of GHS2, 263, 486.00 at the prevailing Bank rate from 31st July, 2022 to date of payment.

(d) Plaintiff shall recover interest on the said amount of GHS161, 167.04 at the Bank rate from 31st July, 2022 to date of payment.

(e) Costs of Seventy thousand Ghana Cedis (GHS70,000.00) in favour of the Plaintiff against the Defendant.

Emmanuel A. Lodoh

(Justice of the High Court)

Lawyers

1. Helen Adzoa Kpeglar, Esq. Counsel for the Plaintiff.

2. Alex Sam Brew, Esq. Counsel for the Defendant.